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China Industrials | Asia Pacific

May Excavator Sales: Growth Much Stronger than Feared

May-26 sales grew 36% YoY (-14% MoM, 5M26 +25% YoY). Domestic sales grew 39% YoY in May (5M26 +18% YoY), driven by front-loaded LGSB issuance and replacement demand for electric models. OEM price hikes (including Sany, XCMG, and Liugong), effective from mid-May to June, should support margin recovery. Exports remained resilient at +34% YoY (5M26 +33% YoY), despite the Middle East conflict and rising fuel prices, driven by ongoing market share gains across multiple regions, including Europe, LatAm, and Africa.

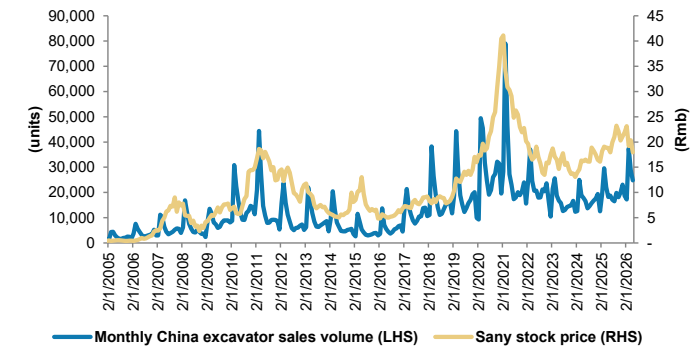
We remain positive on the global construction machinery upcycle. After meetings with Sany and Zoomlion last week, we came away positive on their 2Q26 outlook. Sany guides to c.20% YoY top-line growth on overseas demand, a better excavator mix, and stable pricing. Zoomlion expects improving growth as FX drag eases and overseas momentum broadens.

Exhibit 1: China excavator sales volume

	May			5M26	
	Sales volume (units)	YoY	MoM	Sales volume (units)	YoY
Total China excavator sales	24,794	36%	-14%	126,875	25%
Domestic sales	11,628	39%	-31%	68,127	18%
Export sales	13,166	34%	11%	58,748	33%

Source: China Construction Machinery Association (CCMA), Morgan Stanley Research.

Exhibit 2: China's monthly excavator sales volume vs. Sany Heavy's share price



Source: CCMA, FactSet, Morgan Stanley Research.

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CHINA INDUSTRIALS

Asia Pacific

Industry View

In-Line

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Valuation Methodology and Risks

Zoomlion Heavy Industry (000157.SZ)

Our H-share valuation is based on 13x 2026e P/E. We think this multiple is appropriate, in line with the average of 13x P/E over 2017-26. We apply a 20% A-H premium to derive our PT for the A-shares, implying 18x A-share P/E for 2026.

Risks to Upside

- Stronger-than-expected replacement demand from emissions standard upgrade.
- Stronger demand for excavators and aerial work platform products.

Risks to Downside

- Lower-than-expected infrastructure and property investment growth.
- Lower-than-expected overseas demand.

Zoomlion Heavy Industry (1157.HK)

Our H-share valuation is based on 13x P/E (previously 12x) 2026e EPS excluding FX losses. We think this multiple is appropriate, as it is in line with the average P/E over 2017-26 of 13x. FX losses are a near-term impact and are largely priced in by the market.

Risks to Upside

- Stronger-than-expected replacement demand from emissions standard upgrade.
- Stronger demand for excavators and aerial work platform products.

Risks to Downside

- Lower-than-expected infrastructure and property investment growth.
- Lower-than-expected overseas demand.

Sany Heavy Industry Co., Ltd. (600031.SS)

Base case, derived from P/E methodology. We apply a target multiple of 23x to our 2026e EPS excl. FX loss estimate. We think this multiple is appropriate, as it is in line with Sany's average ~23x P/E multiple during the domestic construction machinery upcycle in 2016-17. FX losses are a near-term impact and are largely priced in by the market.

Risks to Upside

- Stronger-than-expected bargaining power amid market competition.
- Stronger-than-expected infrastructure and property construction activities.
- Faster-than-expected overseas penetration.

Risks to Downside

- Lower-than-expected infrastructure and property investment growth.
- Weaker-than-expected bargaining power with intensifying competition.
- Weaker-than-expected sales performance in overseas developing markets.

Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)

Our price target is derived by 1) applying a 35x 2026e P/E multiple to its core business (excl. FX impact); and 2) using DCF for the humanoid robot parts business, discounting 2025-50e cash flows at a WACC of 11% and applying a terminal growth rate of 4%. Combining both yields a price target of Rmb133.

Risks to Upside

- Stronger-than-expected excavator and pumps & valves demand.
- Notable penetration into foreign brands' supply chain.
- Faster-than-expected humanoid robots penetration and market share gain in the supply chain.

Risks to Downside

- Sharp decline in excavator and pumps & valves demand in China.
- Failure to expand its share in non-excavator parts.
- Slower-than-expected humanoid robot penetration.

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Jiangsu Hengli Hydraulic Co.Ltd (601100.SS) - As of 06/07/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 6/1/21 : E/I; 2/4/23 : E/A; 5/23/23 : 0/A; 1/8/25 : 0/I

Price Target History: 3/17/21 : 95; 8/16/21 : 90; 8/24/21 : 83; 6/30/22 : 59; 9/29/22 : 52; 12/13/22 : 55; 5/23/23 : 63; 7/11/23 : 68; 10/11/23 : 71; 1/3/24 : 68; 2/26/24 : 67; 4/25/24 : 61; 8/28/24 : 63; 10/8/24 : 69; 11/5/24 : 63; 3/12/25 : 104; 5/19/25 : 99; 7/14/25 : 93; 9/8/25 : 105; 1/22/26 : 133

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Sany Heavy Industry Co., Ltd. (600031.SS) - As of 06/07/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 6/1/21 : E/I; 2/4/23 : E/A; 1/5/24 : U/A; 9/2/24 : E/A; 1/8/25 : 0/I

Price Target History: 3/17/21 : 35; 8/16/21 : 30; 6/30/22 : 19; 12/13/22 : 16; 9/8/23 : 18; 10/10/23 : 17; 1/5/24 : 10; 5/6/24 : 13; 9/2/24 : 14; 10/8/24 : 20; 3/12/25 : 24; 5/19/25 : 23; 8/25/25 : 25; 9/8/25 : 30; 4/30/26 : 28

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Zoomlion Heavy Industry (000157.SZ) - As of 06/07/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 6/1/21 : O/I; 12/17/21 : E/I; 6/30/22 : U/I; 2/4/23 : U/A; 5/23/23 : E/A; 1/8/25 : E/I; 9/8/25 : O/I

Price Target History: 3/29/21 : 14.3; 8/16/21 : 11.5; 12/17/21 : 7.2; 4/5/22 : 7.5; 6/30/22 : 4.9; 9/28/22 : 4.46; 12/13/22 : 4.8; 5/23/23 : 6.6; 9/7/23 : 7; 1/5/24 : 6; 2/26/24 : 6.8; 4/2/24 : 7.3; 9/3/24 : 6; 10/8/24 : 7.7; 5/19/25 : 6.6; 7/14/25 : 6.8; 9/8/25 : 9; 1/22/26 : 10.9; 5/4/26 : 11.7

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Zoomlion Heavy Industry (1157.HK) - As of 06/07/26 GMT in HKD
Industry : China Industrials



Stock Rating History: 6/1/21 : O/I; 6/30/22 : E/I; 2/4/23 : E/A; 5/23/23 : O/A; 1/5/24 : E/A; 1/8/25 : E/I; 9/8/25 : O/I

Price Target History: 3/29/21 : 13.7; 8/16/21 : 11; 12/17/21 : 7; 4/5/22 : 7.3; 6/30/22 : 4.1; 9/28/22 : 3.5; 12/13/22 : 3.8; 5/23/23 : 5.4; 9/7/23 : 5.5; 1/5/24 : 4.5; 2/26/24 : 5.1; 9/3/24 : 3.9; 10/8/24 : 5; 5/19/25 : 5.1; 7/14/25 : 5.2; 9/8/25 : 7.5; 1/22/26 : 9.1; 5/4/26 : 9.8

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/05/2026)
Chelsea Wang		

China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.69
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.64
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.72
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb127.87
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.00
iRay Technology Company Limited (688301.SS)	E (01/16/2025)	Rmb173.25
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb57.81
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb157.13
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb65.90
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$14.99
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.34
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.30
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.66
DR Laser (300776.SZ)	E (12/17/2021)	Rmb170.16
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb31.02
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$20.68
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb33.32
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb16.43
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb117.20
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb48.89
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb393.00
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.65
Shenzhen Inovance Technology (300124.SZ)	++	Rmb75.08
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb74.51
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$41.58
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb229.51
Times Electric (3898.HK)	E (01/22/2026)	HK\$39.64
WeiChai Power (2338.HK)	O (03/30/2026)	HK\$37.96
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb31.12
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb58.34
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb46.98
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb52.40
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb31.66
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb42.86
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$7.70
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.52

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.